
SPAN OF CONTROL

FACULTY:
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ORGANIZATIONAL STRUCTURES

SPAN OF CONTROL

- It's the number of people or employees who are reporting to a manager **directly**.
- Also called as Span of management or management ratio.



Fig: A wide span of control leading to a flat structure

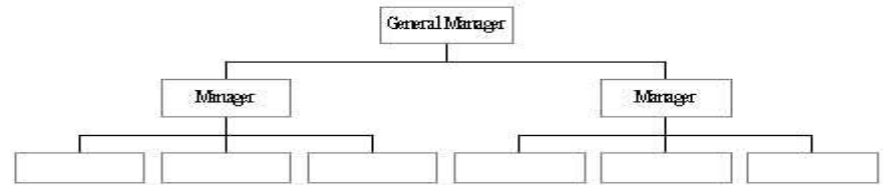


Fig: A narrow span of control leading to a tall structure

TYPES

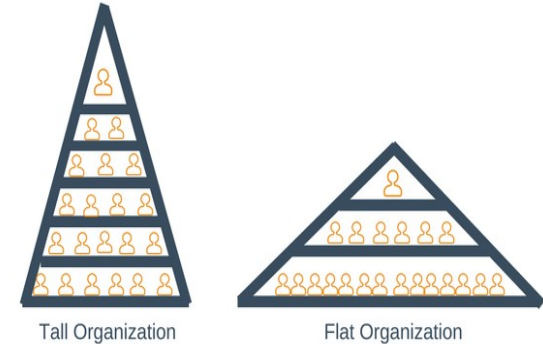
WIDE /FLAT

- More people under one manager.
 - Management ratio can be high (1:20).
 - Quick decision making is possible.
 - More suitable for dynamic environment.

NARROW /TALL

- Less people under one manager.
 - Organized and people oriented structure.
 - Suitable for stable and predictable system.
 - Disadvantages-High administrative overheads, slow communication
 - and decision making.

Organizational Hierarchies



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GRAICUNA'S THEORY OF SPAN OF MANAGEMENT

- Graicunas, suggested that **when the number of subordinates increases then there is an increase in the Direct Single Relationships, Direct Group Relationships and Cross Relationships.**
- So, as the number of subordinates increases arithmetically, the number of relationships among them also increases almost geometrically.

$$r = n \left(\frac{2^n}{2} + (n-1) \right)$$

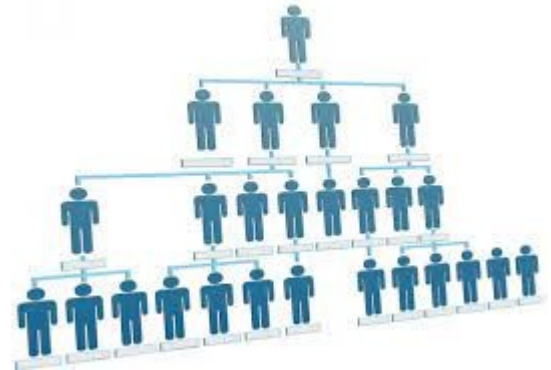
Here, r = number of relationships
n = number of subordinates

AUTHORITY AND RESPONSIBILITY

Basis	Authority	Responsibility
Meaning	Right to command.	Obligation to perform the assigned task.
Delegation	Can be delegated.	Cannot be fully delegated.
Origin	Arises from formal position.	Arises from delegated authority.
Flow	Always flows downward.	Always flows upward.

ORGANIZATIONAL STRUCTURE

- It is the systematic arrangement of people working for the organization and their relationship between positions.
- **TYPES**
 - LINE OS
 - LINE AND STAFF OS
 - FUNCTIONAL OS
 - PROJECT OS
 - MATRIX OS



LINE ORGANIZATION

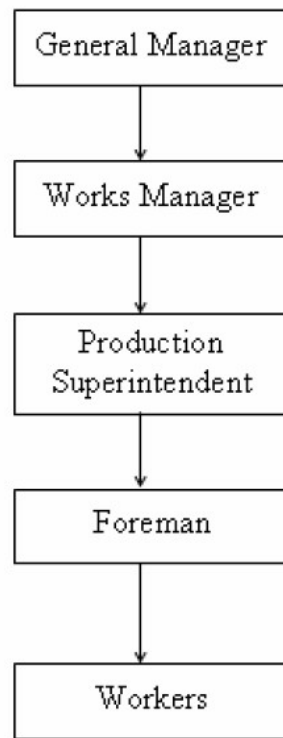
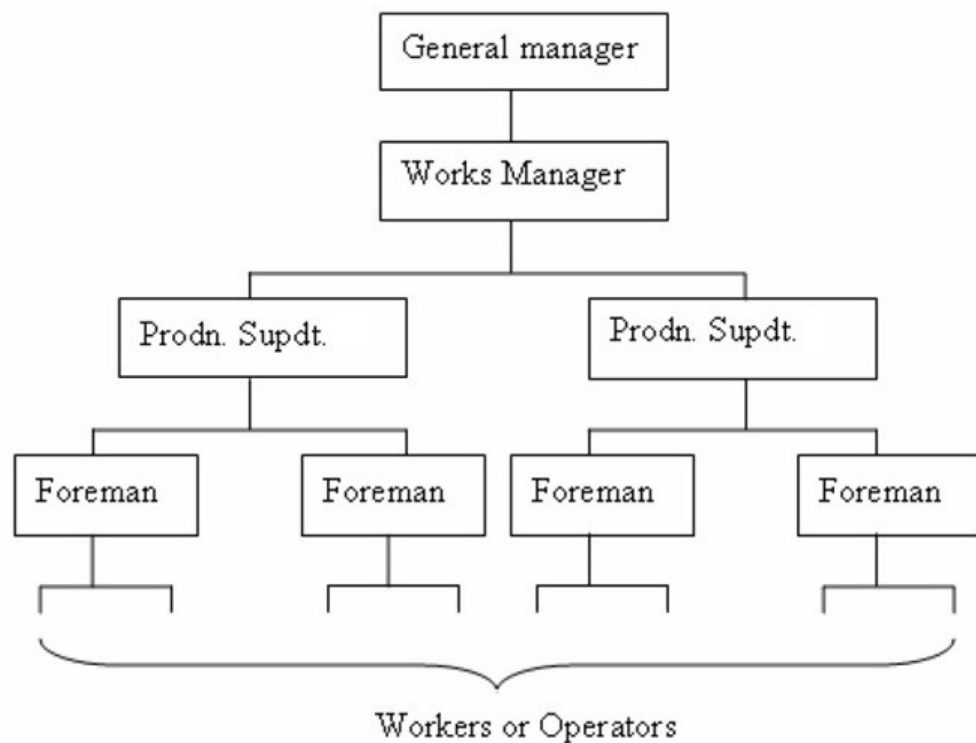
Line Organization is also called **military or scalar organization**.

- - Authority flows from top to bottom in a vertical line.
 - Unity of command is maintained.
 -

APPLICATION

- Small concerns /businesses
 - Automatic and continuous process industries such as paper, sugar, cement,
 - textile, etc.
- Educational institutions

LINE ORGANIZATION



Line Structure

Advantages of Line structure

- Simple OS
- Clear cut authority and responsibility
- Strong discipline
- Capable of developing all round executives at higher levels of authority.

Disadvantages of Line structure

- Neglects specialists
- Overloads a few important executives
- Encourages dictatorial way of working

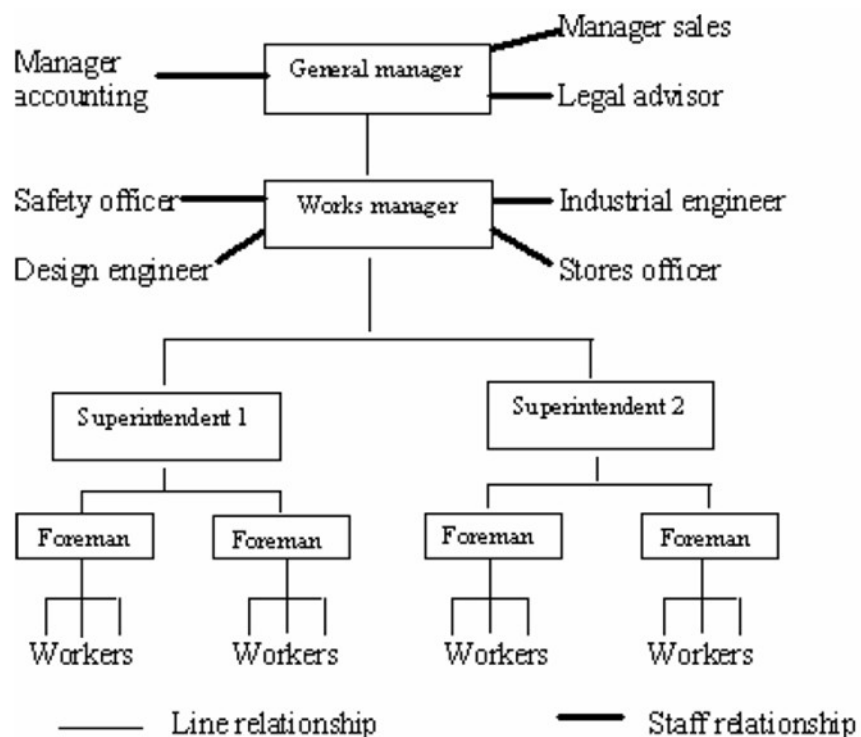
LINE AND STAFF ORGANIZATION

- In a big organization manager will have to do a variety of functions and he may not be expertise in all areas.

- Special executives will be employed to assist line executives and they were known as staff, whom to perform specialized function.

- Supervisory authority will be given for line executives and the staff executives gives advices and expert opinion, have no direct authority.

- **APPLICATION**- Steel plant, Automobile plant



Line and Staff Organization

Advantages of Line and staff organization

- Specialization benefits of staff can be profitably utilized to have standard operations.
- Line executives are relieved of some of their workloads and are thus able to concentrate on other important matters.

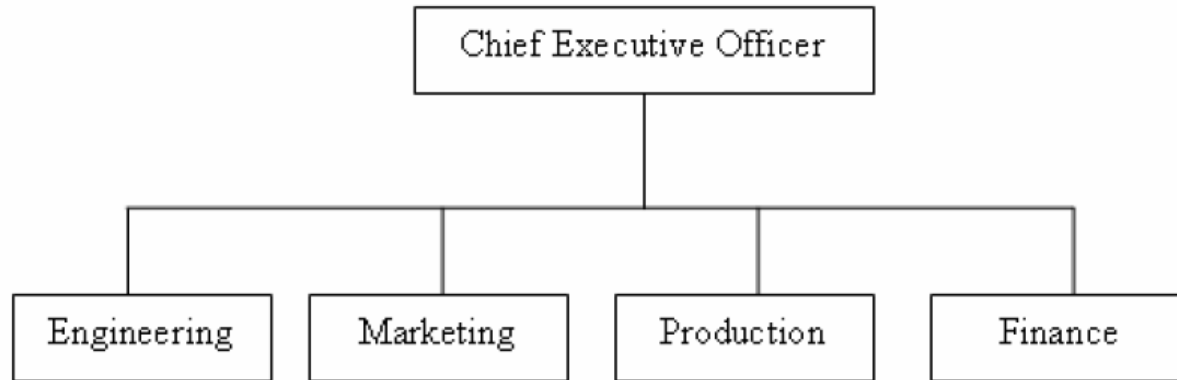
Disadvantages of Line and staff organization

- Staff – line conflict
- Increased product cost because of high salaries of staff executives
- Too much staff activity may complicate a line executive's job

FUNCTIONAL ORGANIZATION

- Introduced by F. W Taylor
- Employees are grouped and located by specialty into functional departments: each headed by a functional manager. Each member of staff has one clear boss.
- Authority rests with functional heads
- Functional manager are specialists in their respective areas and is based on high degree of specialization.
- This specialization leads to greater efficiency and refinement of particular expertise.

FUNCTIONAL ORGANIZATION



Functional Structure

Advantages of Functional organization

- Efficient use of resources
- Simplifies training
- Centralized control of strategic decisions
- Improved quality of work

Disadvantages of Functional organization

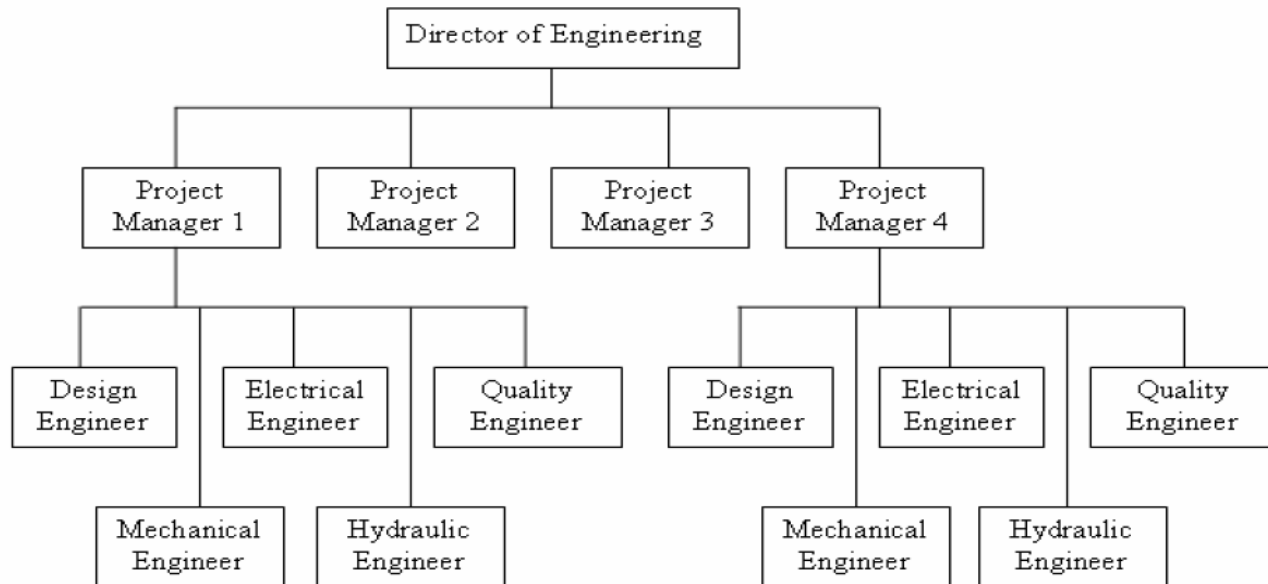
- Limits development of general managers or all-round executives
- Difficulty in multifunctional decision making
- Promotes narrow specialization

PROJECT ORGANIZATION

- Firms dealing with multiple products or different projects usually adopt project organization.
- It consist of an autonomous project team, existing independently of the rest of organization.
- The emphasis in project organization is on creation of teams for the accomplishment of specific objectives.
- The project team is assembled for a specific project under the action of project manager.
- The team is thus temporary and will be dispersed when the project is completed.



PROJECT ORGANIZATION



Project Organization

Advantages of Project Organization

- Flexibility
- Responsive to changing environment
- Encourages team work

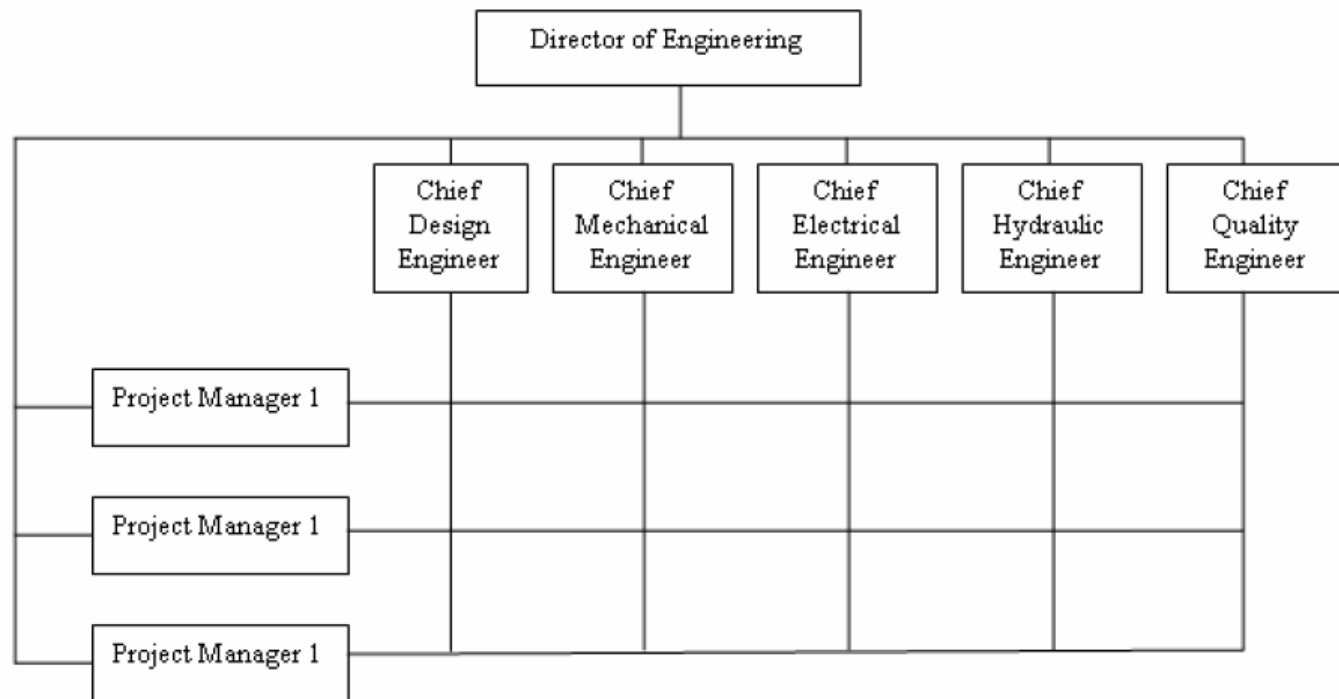
Disadvantages of Project Organization

- Projects can be of short duration leading to frequent change in organization structure
- Trained professionals need not tolerate the insecurity of frequent organization change

MATRIX ORGANIZATION

- They are those that comes between fully functional and fully project organizational structure.
- The matrix organization is an organization structure that establishes **two chains of command, one vertical and one horizontal, at the same time.**
- It is intended to combine the advantages of functional structure and project structure.
- APPLICATION –IT industries ,R&D

MATRIX ORGANIZATION



Matrix Organization

Advantages of Matrix Organization

- Decentralized decision making
- Capable of adapting to fast environmental changes
- Flexibility

Disadvantages of Matrix Organization

- Violates the principle of unity of command
- High administrative costs
- Requires tremendous horizontal and vertical co-ordination
- Chances of interpersonal conflicts



thank
you